Can people keep improving through self-study alone?

CORPORATE GOVERNANCE × INVESTING

People who can study without a teacher are a minority

Set goals, discover weaknesses, discipline yourself and keep improving. Few people can do all of this entirely alone.

Is corporate management similar?

Managers are human too. Past successes, internal assumptions, entanglements and the status quo can make it hard to identify their company’s problems unaided.

Engagement funds are a company’s external instructors

MOVING COMPANIES FROM OUTSIDE

It does not end with buying shares

They engage with portfolio-company management and encourage improvements in capital allocation, business restructuring, growth strategy and governance to increase corporate value.

Shareholders who encourage improvement, rather than enemies

Their role extends beyond short-term share-price movements: they ask management questions to draw out the company’s inherent value.

Outside directors can be management’s teachers

AN EXTERNAL PERSPECTIVE INSIDE THE COMPANY

Supervise management and introduce different viewpoints

They scrutinize strategy and capital allocation from experiences and positions different from management’s. The ability to question “what everyone inside takes for granted” matters greatly.

Merely appointing them is not enough

The key is not their number, but whether they can ask necessary questions, debate management and improve decision quality.

The better the company, the better it can use outside perspectives

WHAT INVESTORS SHOULD LOOK FOR

School

Student → self-study has limits → receives guidance from a teacher

Company

Manager → internal resources have limits → outside directors supervise and advise

Shareholder

Company → self-directed reform has limits → engagement encourages change

Conclusion

Receiving outside opinions is not weakness. Companies that absorb external wisdom and change themselves may become stronger over the long term.